me particularly compelling, thus reducing the analytic process to the selection of a few attractive stocks from each identified group.

The individual investor, admittedly, doesn't have to juggle hundreds of stocks. He can just pick off the dozen or so he is drawn to. But in selecting the stocks he hopes will double or triple over time—the short-term trader is playing in a different ballpark—he'll improve his chances of success if he finds companies operating in a favorable environment.

Trend Spotting

The market areas and the groups I want to concentrate on are those that I believe will benefit from strong economic, social, or technological trends.

Furthermore, I want to identify trends that will last four or five years or longer, thus putting my investment horizon beyond the next business cycle or some analyst's estimate of next year's earnings. I also escape the shackles of the efficient-market hypothesis, which states that earnings and prospects for the next quarter and year are already reflected in the market price of a stock, for I am looking beyond the next quarter and year.

> I concentrate on areas that will benefit from strong economic, social, or technological trends. And I want trends that will last four years or longer.

As I discussed earlier, the institutionalization of the market, with managers like myself all fed the same information on-line, has made it harder and harder to find undervalued stocks. The over-